



Q1 2021 RESULTS

11 MAY 2021

Conference call

Corporate Investor Relations

Connecting**Chemistry**



Agenda: Q1 2021 Results

HIGHLIGHTS Q1 2021

FINANCIALS Q1 2021

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Highlights Q1 2021

OPERATING GROSS PROFIT

+7.4% (fx adj.)

EUR 764.5m

OPERATING EBITDA

+20.7% (fx adj.)

EUR 300.3m

FREE CASHFLOW GENERATION

EUR 75.6m

EUR 161.5m in Q1 2020

EPS

EUR 0.63

Following EUR 0.74 one year ago

GO-LIVE OF TWO GLOBAL DIVISIONS

Brenntag Essentials and Brenntag Specialties

VERY STRONG RESULTS

Despite continued challenging macroeconomic and operational conditions

FURTHER PROGRESS ON PROJECT BRENNTAG

Step-by-step implementation of various initiatives

FY 2021 GUIDANCE CONFIRMED

FY 2021 OP. EBITDA expected to be between 1,080m and 1,180m EUR

M&A activities Q1 2021

Acquisitions

- Closing of 3 targets:
 - Comelt S.p.A., Italy
 - ICL Packed Ltd., UK
 - Alpha Chemical Ltd., Canada

- Total enterprise value of 59.2m EUR

M&A approach

Allocation of 200-250m EUR for M&A

- 1.** Sharpened focus towards emerging markets, particularly China
- 2.** Concentration on specific industries
- 3.** Identification of targets delivering more sizeable operating EBITDA contribution

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HIGHLIGHTS Q1 2021

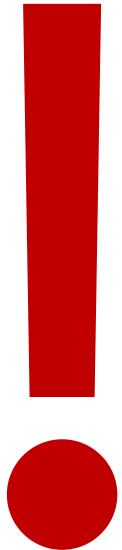
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Q1 2021: Continued challenging conditions globally

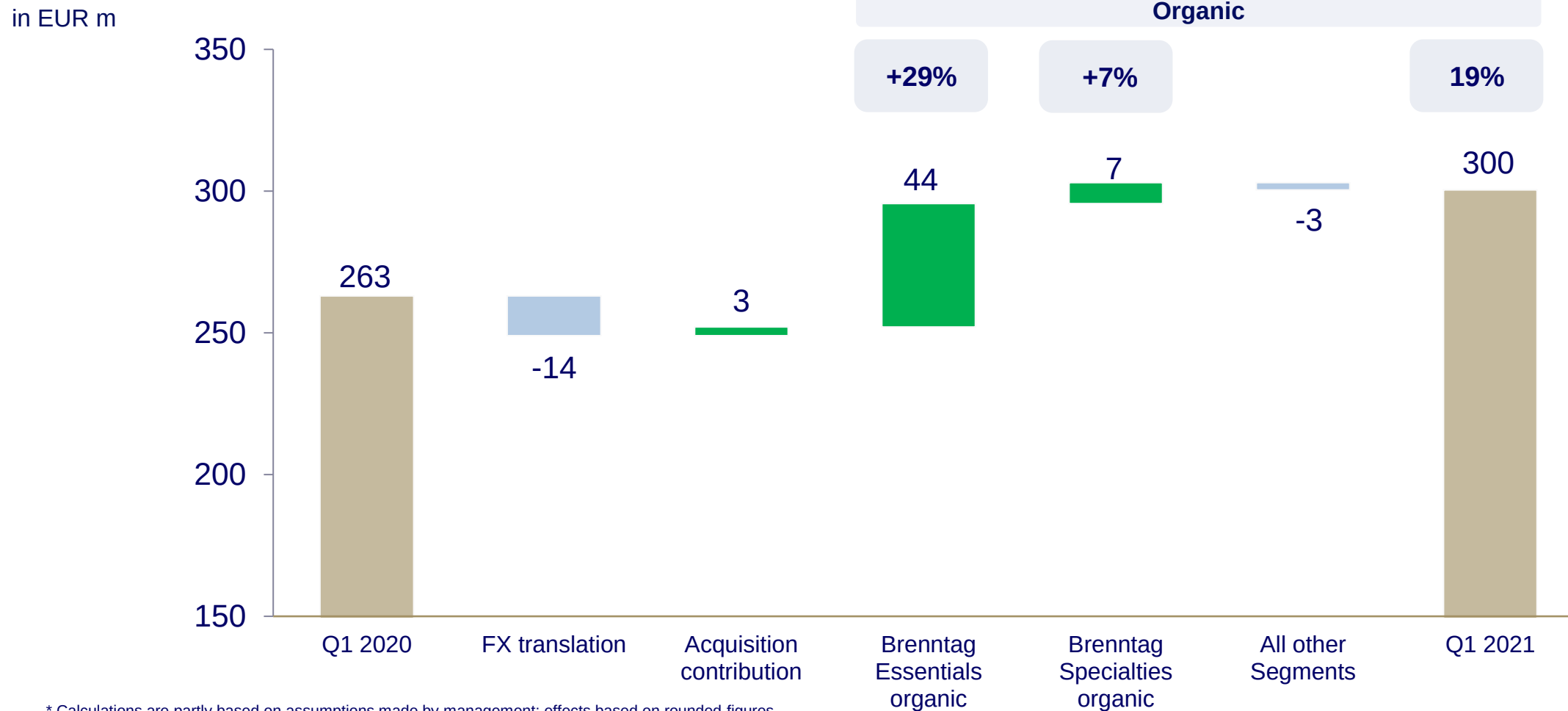


Continued impact of COVID-19 pandemic

Global supply chains under stress

Production outages of suppliers led to product shortages

Financials Q1 2021: Operating EBITDA bridge* from Q1 2020 to Q1 2021



Two global divisions with distinct market approach addressing changing needs of our business partners



BRENNTAG ESSENTIALS

Regional logic

- Superior **global reach**
- **Regional leadership**
- Local **customer proximity**
- Local **market know-how**
- **Lean & agile** business

Agile, lean, and most efficient partner of choice for suppliers and customers

BRENNTAG SPECIALTIES

Industry logic

- **Tailored solutions and value-added services** for our customer's end-products
- **Increased and more focused customer interaction**
- Global **best practice sharing** of industry specific know-how

Global specialties leader in selected focus industries

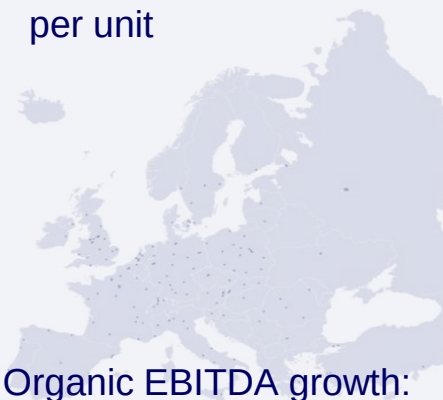
Financials Q1 2021: Brenntag Essentials

EMEA	NORTH AMERICA	LATIN AMERICA	APAC
- Strong performance in Q1 despite supply shortages - Operating EBITDA increase mainly driven by rise in operating gross profit and cost management  Organic EBITDA growth: 25%	- Strong performance in Q1 indicating some stabilization - Operating gross profit per unit and price management supported North American results  Organic EBITDA growth: 20%	Very strong operational performance driven by Brazil, Argentina and Mexico in particular  Organic EBITDA growth: 64%	- Very strong business development in Q1 driven mainly by favourable operating gross profit per unit - Extremely positive performance in China and Vietnam - Q1 2020 was particularly impacted by COVID-19  Organic EBITDA growth: 124%

Financials Q1 2021: Brenntag Specialties

EMEA

- Strong performance across all customer industries.
- Performance driven by operating gross profit per unit



AMERICAS

- Weaker performance due to pressure on supply chains
- Lubricants customer industry reported earnings growth
- Better business development towards the end of Q1

Organic EBITDA growth:
-14%

APAC

- Strong performance across all customer industries.
- Performance driven by operating gross profit per unit and higher volumes.
- Many countries contributed to the Q1 results

Organic EBITDA growth:
40%

Financials Q1 2021: Segments (1/2)

in EUR m	Operating gross profit ¹⁾				Operating EBITDA ²⁾				Operating EBITA	
	Q1 2021	Q1 2020	Δ	Δ FX adjusted	Q1 2021	Q1 2020	Δ	Δ FX adjusted	Q1 2021	Q1 2020
Brenntag Essentials	472.5	465.8	1.4%	7.1%	194.1	158.3	22.6%	29.2%	142.0	103.2
Brenntag Specialties	284.3	279.6	1.7%	7.1%	119.8	115.7	3.5%	9.2%	112.2	107.7
All other segments	7.7	5.3	45.3%	45.3%	-13.6	-11.0	23.6%	23.6%	-15.2	-12.3
Brenntag Group	764.5	750.7	1.8%	7.4%	300.3	263.0	14.2%	20.7%	239.0	198.6

¹⁾ External sales less cost of materials.

²⁾ Segment operating EBITDA is calculated as EBITDA adjusted for holding charges and special items.

Financials Q1 2021: Segments (2/2)

in EUR m	Operating gross profit ¹⁾				Operating EBITDA ²⁾			
	Q1 2021	Q1 2020	Δ	Δ FX adjusted	Q1 2021	Q1 2020	Δ	Δ FX adjusted
Essentials EMEA	197.3	192.3	2.6%	3.6%	82.1	66.1	24.2%	25.5%
Essentials North America	210.9	217.2	-2.9%	5.5%	84.0	76.2	10.2%	19.8%
Essentials Latin America	37.1	34.9	6.3%	22.4%	15.4	10.5	46.7%	63.8%
Essentials APAC	27.2	21.4	27.1%	32.7%	12.3	5.7	115.8%	123.6%
Brenntag Essentials	472.5	465.8	1.4%	7.1%	194.1	158.3	22.6%	29.2%
Specialties EMEA	139.3	132.9	4.8%	7.4%	61.3	58.0	5.7%	8.9%
Specialties Americas	90.7	101.1	-10.3%	-2.2%	29.3	37.2	-21.2%	-14.1%
Specialties APAC	54.3	45.6	19.1%	26.3%	28.3	20.6	37.4%	45.9%
Brenntag Specialties	284.3	279.6	1.7%	7.1%	119.8	115.7	3.5%	9.2%

¹⁾ External sales less cost of materials. ²⁾ Segment operating EBITDA is calculated as EBITDA adjusted for holding charges and special items.

The difference between the sum total of the reportable segments (EMEA, Americas and APAC) and the Brenntag divisions is the result of central activities which are part of Brenntag divisions but not directly attributable to any one segment.

Financials Q1 2021: Income statement below operating EBITDA

in EUR m	Q1 2021	Q1 2020	Δ	2020
Operating EBITDA	300.3	263.0	14.2%	1,057.7
Special items	-70.8	-6.9	926.1%	-47.2
Depreciation	-61.3	-64.4	-4.8%	-252.4
EBITA	168.2	191.7	-12.3%	758.1
Amortization	-11.3	-11.5	-1.7%	-45.1
EBIT	156.9	180.2	-12.9%	713.0
Financial result	-17.6	-24.0	-26.7%	-79.7
EBT	139.3	156.2	-10.8%	633.3
Profit after tax	100.2	115.0	-12.9%	473.8
EPS	0.63	0.74	-14.9%	3.02

Financials Q1 2021: Free cash flow

in EUR m	Q1 2021	Q1 2020	Δ	Δ	2020
Operating EBITDA	300.3	263.0	37.3	14.2%	1,057.7
Capex	-33.0	-44.5	11.5	-25.8%	-201.9
Δ Working capital	-160.5	-24.4	-136.1	557.8%	325.0
Principal and interest payments on lease liabilities	-31.2	-32.6	1.4	-4.3%	-126.2
Free cash flow	75.6	161.5	-85.9	-53.2%	1,054.6

Financials Q1 2021: Balance Sheet and maturity profile

in EUR m	31 Mar 2021	31 Dec 2020
Financial liabilities	1,687.2	1,639.4
Lease liabilities	454.7	426.8
./. Cash and cash equivalents	690.6	726.3
Net Debt	1,451.3	1,339.9
Net Debt/Operating EBITDA ¹⁾	1.3x	1.3x
Equity	3,809.3	3,611.6



1) Operating EBITDA for the quarters on LTM basis calculated including IFRS 16 effect.

Financials Q1 2021: Working capital

in EUR m	31 Mar 2021	31 Dec 2020	30 Sep 2020	30 Jun 2020	31 Mar 2020
Inventories	1,092.8	978.9	1,005.9	1,190.5	1,169.9
+ Trade receivables	1,938.7	1,597.5	1,648.0	1,658.9	1,979.0
./. Trade payables	1,485.7	1,229.8	1,194.2	1,120.4	1,396.1
Working capital (end of period)	1,545.8	1,346.6	1,459.7	1,729.0	1,752.8
Working capital turnover (annualized) ¹⁾	8.7x	7.3x	7.1x	6.9x	7.3x

1) Sales YTD extrapolated to the full year; average working capital is defined as the average of working capital at the beginning of the year and at the end of each quarter.

Project Brenntag: Status update Q1 2021



Overall Implementation

- Go-Live of two global divisions
- New external reporting structure
- Go-to-market approach measures lead to closer alignment with customers' and suppliers' needs
- Site network optimization: reduced complexity + increased customer proximity



Measures

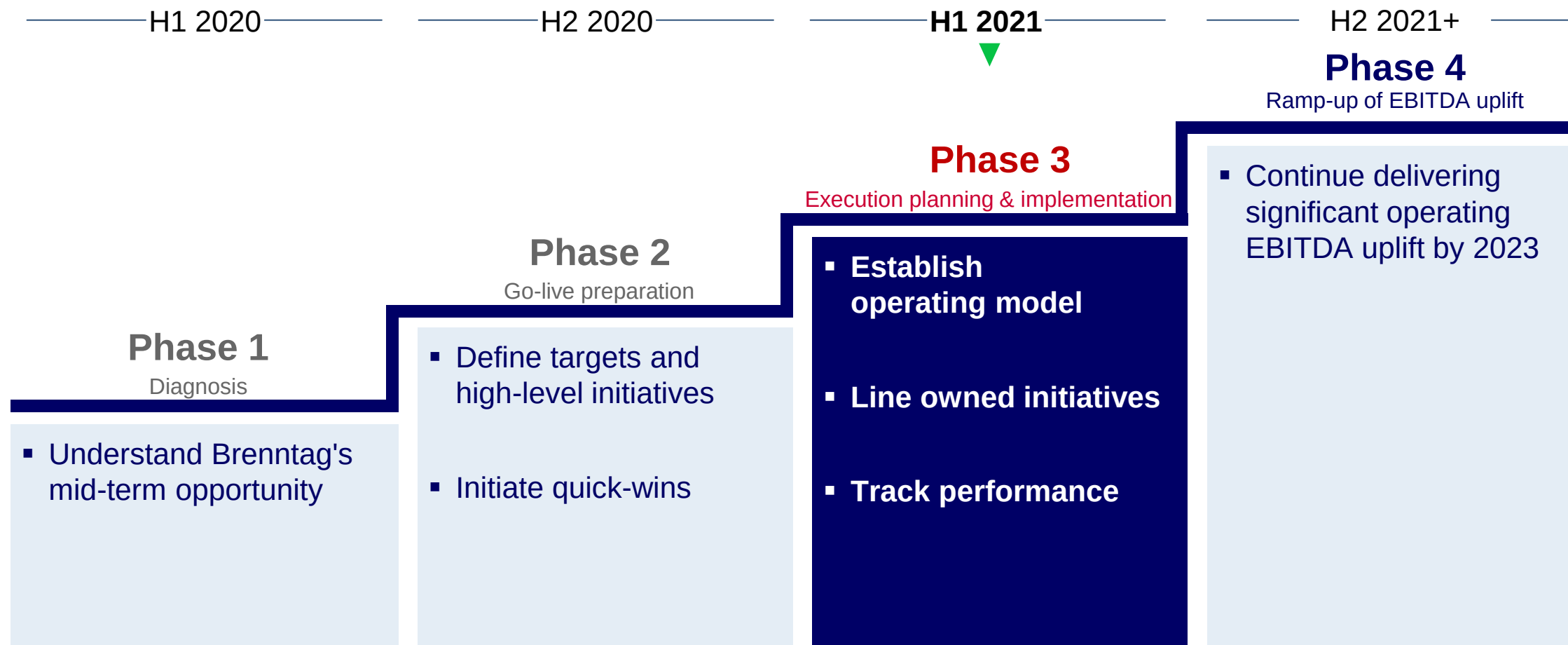
- Almost 1000 measures rolled-out
- Global monitoring established
- Broadened and intensified leadership involvement



Results

- Working Capital turn significantly improved
- Reduction of ~350 jobs
- >50 site closures globally

Project Brenntag: Timeline



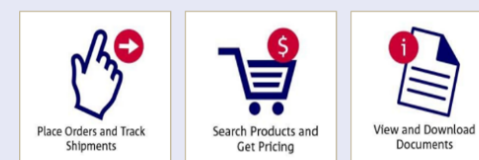
Digital Sales Channel Development @ Brenntag

Brenntag Connect

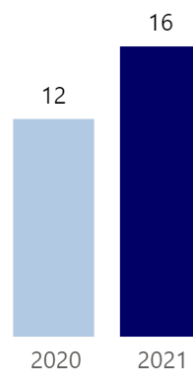
Digital Sales Solutions Channel to over 10,000 chemicals and ingredients globally

- ➔ Buy thousands of products online by industry, supplier and product type.
- ➔ Register and start adding chemicals and ingredients to your shopping cart.

Key Features

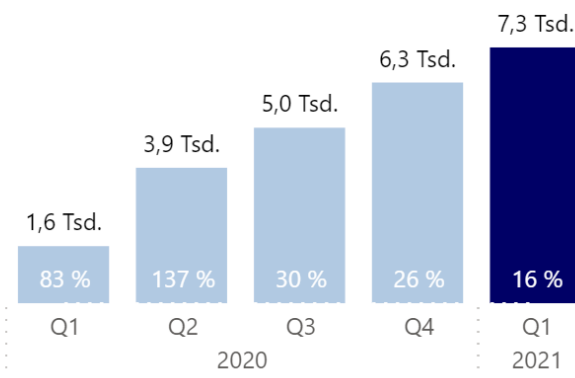


Countries



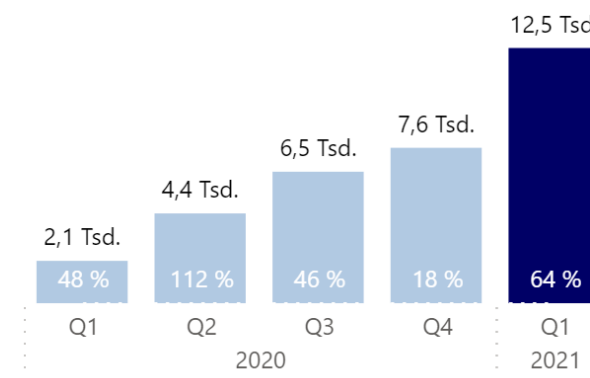
2020 vs 2021 +~30%

Active Customers



Q1 2020 vs Q1 2021 +~350%

Orders



Q1 2020 vs Q1 2021 +~500%

ESG: Brenntag is developing a comprehensive strategic framework for sustainability in line with our corporate strategy

HIGHLIGHTS

Q1 2021

- Publication of Sustainability Report on April 28, 2021
- Defined **new sustainability goals for 2021** that mark the path for long-term sustainability roadmap

Targets 2021

- Re-evaluate sustainability approach of Brenntag
- Develop a comprehensive strategic framework for sustainability in line with corporate strategy
- Develop new ambitious and long-term goals

Safety

- ✓ TRIR (Total Recordable Injury Rate): 2.9
- ✓ -15% spills compared to base year 2020 (spills > 200 liters)
- ✓ 100% site coverage with process safety management standards

Climate

- ✓ -4% total scope 1 and 2 CO₂e emissions compared to base year 2020
- ✓ 3 sites that will start to produce electricity with solar panels
- ✓ 9 sites that will have undergone a full solar panel feasibility study

Sustainable Procurement

- ✓ 80% coverage of chemical spend (in €) with supplier sustainability assessments
- ✓ 55% of suppliers undergoing re-assessments which achieve a score improvement by at least 1 point

Ratings

- ✓ EcoVadis Score of 71 (Gold Medal)
- ✓ CDP Score of C

Memberships / Ratings



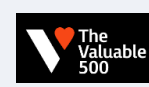
Responsible
Care/Distribution
program



"Together for
Sustainability"
initiative



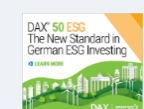
UN Global
Compact



global inclusion
initiative
The Valuable 500



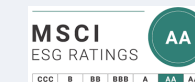
EcoVadis
Gold status



DAX 50 ESG



Medium ESG risk rating



MSCI Rating
Level: Leader (AA)



CDP C level



Annual
Sustainability Report

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Outlook 2021: Guidance confirmed

Macro environment	▪ COVID-19 pandemic continues to stay globally the coming months ▪ Continued uncertainty in macro economy driven by the pandemic ▪ Recovery to be expected in course of the year
Comments	▪ Outlook 2021 reflects current and expected macro environment ▪ Guidance includes uplift of Project Brenntag initiatives and M&A and assumes stable FX rates
Operating EBITDA Guidance	▪ Guidance range of 1,080m – 1,180m EUR operating EBITDA for FY2021 confirmed
Additional information	▪ EUR/USD: ~1.20 EUR/USD (2020: ~1.14 EUR/USD) ▪ EUR/USD sensitivity (FY basis): Delta of +/- 1 cent EUR/USD = -/+ ~EUR 5m op. EBITDA ▪ M&A spend 200m - 250m EUR p. a. ▪ Tax rate: ~26-27%

Thank you for your attention



Christian Kohlpaintner, *CEO*



Georg Müller, *CFO*

We are happy to answer your questions!

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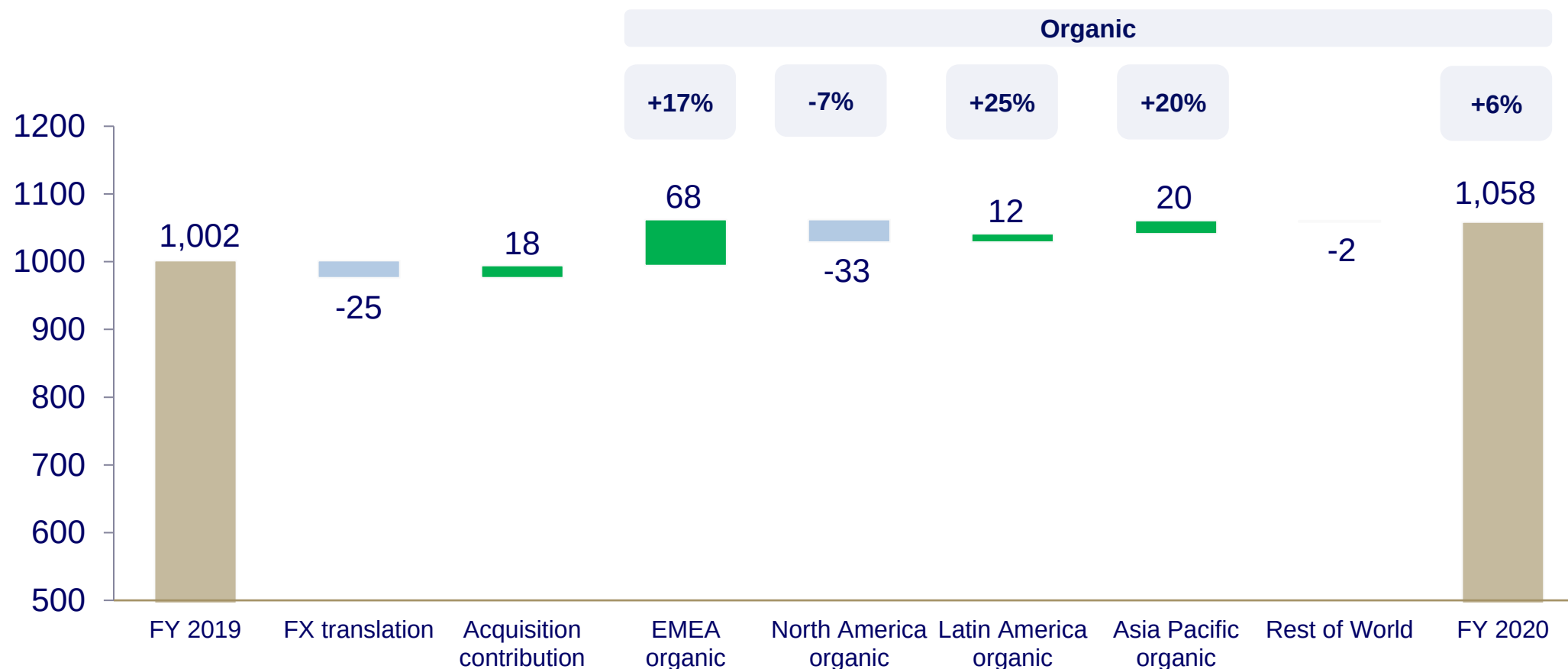
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Financials FY 2020: Operating EBITDA bridge* from FY 2019 to FY 2020

in EUR m



* Calculations are partly based on assumptions made by management; effects based on rounded figures

Financials FY 2020: Income statement below operating EBITDA

in EUR m	FY 2020	FY 2019	Δ
Operating EBITDA	1,057.7	1,001.5	5.6%
Special items	-47.2	8.6	-648,8%
Depreciation	-252.4	-243.6	3.6%
EBITA	758.1	766.5	-1.1%
Amortization ¹⁾	-45.1	-49.6	-9.1%
EBIT	713.0	716.9	-0.5%
Financial result	-79.7	-83.5	-4.6%
EBT	633.3	633.4	0.0%
Profit after tax	473.8	469.2	1.0%
EPS	3.02	3.02	0.0%

1) Includes scheduled amortization of customer relationships amounting to EUR 28.7m in 2020 (EUR 34.9m in 2019).

Financials FY 2020: Cash flow items

in EUR m	2020	2019	Δ	Δ
Operating EBITDA	1,057.7	1,001.5	56.2	5.6%
CAPEX	-201.9	-205.2	3.3	-1.6%
Δ Working capital	325.0	161.7	163.3	-101.0%
Principal and interest payments on lease liabilities	-126.2	-120.7	-5,5	4.6%
Free cash flow	1,054.6	837.3	217.3	26.0%

FREE CASH FLOW

EUR 1,055m

INTEREST AND TAX PAYMENTS

EUR -213m

CASH OUT FOR M&A

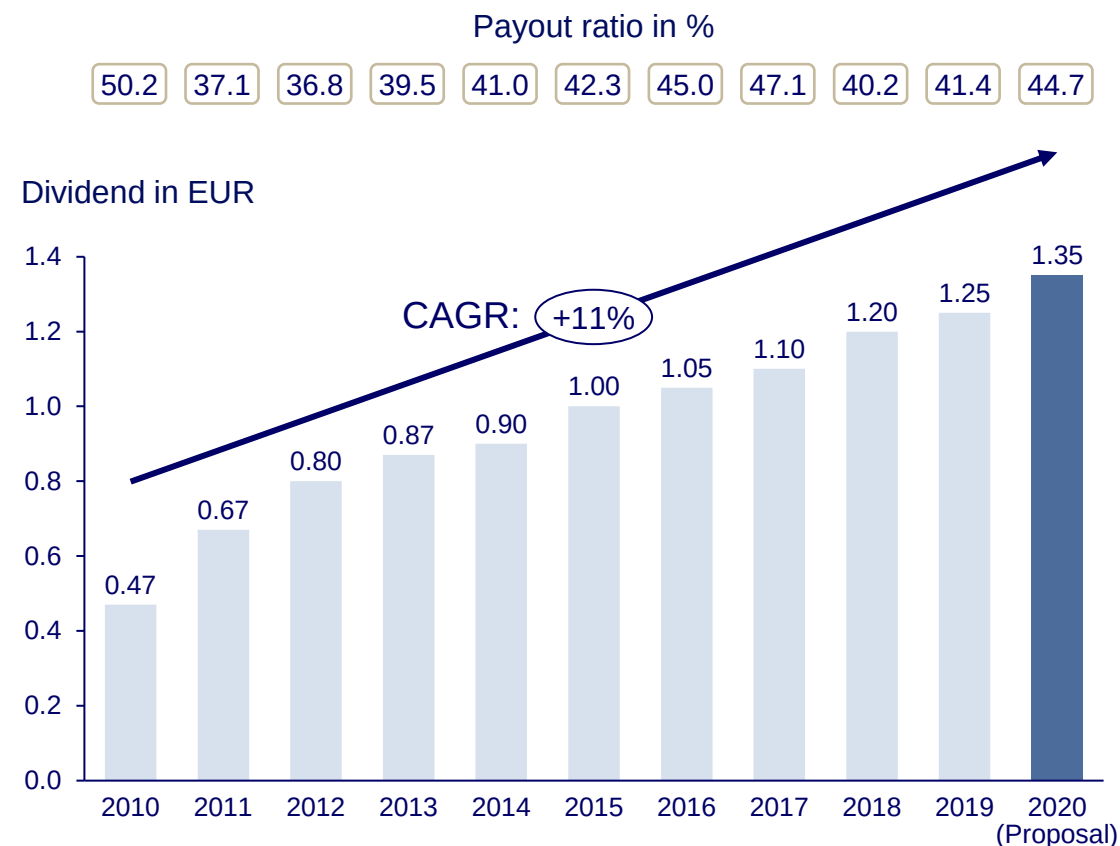
EUR -46m

DIVIDEND PAID

EUR -193m

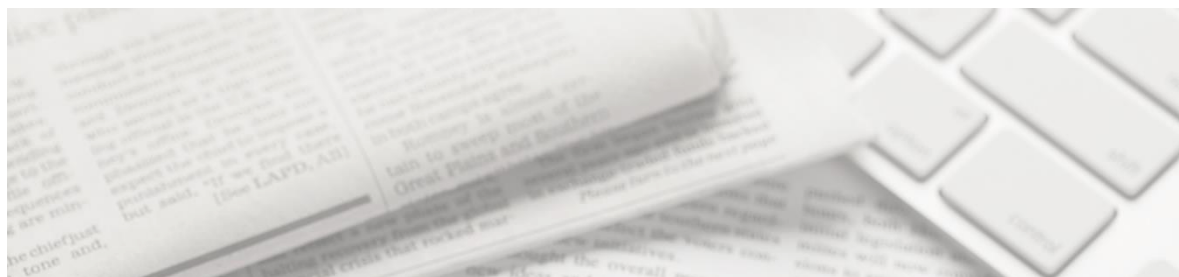
Financials FY 2020: Continuous dividend increase

in EUR m	2020	2019	Δ
Profit after tax	473.8	469.2	1.0%
Less minority interests	7.3	2.5	
Profit after tax (consolidated) attributable to shareholders of Brenntag SE	466.5	466.7	0.0%
Proposed dividend payment	208.6	193.1	
Proposed dividend per share in EUR	1.35	1.25	8.0%
Payout ratio	44.7%	41.4%	



Dividend policy: pay an annual dividend of **35% to 50%** of consolidated profit after tax attributable to shareholders of Brenntag SE

Financial calendar / Contact



Date	Event
June 10, 2021	General Shareholders' Meeting
August 10, 2021	Interim Report Q2 2021
November 4, 2021	Interim Report Q3 2021

The financial calendar is updated regularly. You can find the latest dates on www.brenntag.com/financial_calendar
Please note that these dates could be subject to change.



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